HRM - Unit II

HR Planning, Job Analysis, Recruitment and Selection

Contents: Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
BBA III Sem · Human Resource Management · CSJM University. Units I-II notes and answers are written from standard HRM knowledge; Units III-IV follow your PDFs.

Part A - Notes

1. Human Resource Planning (HRP)

HRP is the process of **forecasting an organisation's future demand for and supply of employees** and planning to meet the gap, so that the right number and type of people are available at the right time.

1. Analyse organisational objectives and plans (first step).
2. Forecast demand for human resources.
3. Forecast supply (internal and external).
4. Identify the gap - shortage or surplus.
5. Prepare and implement action plans.
6. Control and review.

Factors affecting HRP

Internal factors	External factors
Organisational strategy and growth plans	Labour market and unemployment
Organisational structure and job design	Economy and technology
Employee turnover, skills inventory	Government laws, trade unions

Techniques of forecasting demand

Technique	How it works
Managerial judgement	Managers estimate needs
Delphi technique	Experts give estimates anonymously in rounds until consensus
Nominal group technique	Structured group discussion and ranking
Work-study technique	Workload ÷ output per employee
Ratio / trend analysis	Past ratios projected

For a **growing firm** Delphi / managerial judgement suits best, because the future differs from the past.

Methods of forecasting supply

- **Markov analysis** - probability of employees moving between jobs and leaving.
- **Skill inventory** - records of employees' skills.
- **Replacement / succession charts** - who can replace whom.
- **External supply** - labour market, campuses.

Barriers to effective HRP

Barrier	Remedy
Lack of top management support	Show benefits; involve top management

Inaccurate data and forecasts	Improve the HR information system
Resistance to planning	Communication and participation

2. Job analysis

Job analysis is the process of **collecting and analysing information about the tasks, duties, responsibilities and requirements of a job**. It is the **foundation (cornerstone) of all HR activities**.

Method	How it works
Observation	Analyst watches the job being done
Interview	Job holders and supervisors are questioned
Questionnaire	Written form filled by employees
Diary method	Job holder records daily activities in a log

Job description	Job specification
Statement of tasks, duties and responsibilities - about the JOB	Statement of qualifications, skills and traits - about the PERSON
Title, duties, reporting, conditions	Education, experience, skills, personality

Example: Marketing Executive - JD: promote products, meet customers, prepare sales reports, report to the Marketing Manager. JS: BBA/MBA, 1-2 years' experience, communication skills, basic computer skills.

Uses of job analysis

HR activity	Use
Planning	Defines jobs needed
Recruitment and selection	Gives JD and JS
Training	Shows skills required
Appraisal	Sets performance standards
Job evaluation and pay	Basis of the pay structure

3. Recruitment

Recruitment is the process of **searching for and attracting potential candidates** to apply for jobs. It creates a pool of applicants.

Factors affecting recruitment

Internal	External
Recruitment policy, HR plan, size, cost, image of the firm	Labour market, unemployment, competitors, laws, economy

Internal vs external sources

Basis	Internal	External
Examples	Promotion, transfer, job posting, referrals	Campus, advertisements, employment exchange, agencies
Merits	Cheap, fast, boosts morale, performance known	Fresh ideas and skills, wider choice
Demerits	Limited choice, no new ideas, rivalry	Costly, slow, risk of a wrong fit

"Internal recruitment boosts morale, external brings innovation" - broadly true; the best firms use a mix.

Recruitment	Selection
Searching and attracting candidates	Choosing the best from the applicants

Positive process	Negative process (rejects unsuitable persons)
Comes first	Follows recruitment

4. Selection

Selection is the process of **choosing the most suitable candidate** from the applicants.

1. Application screening (first stage)
2. Employment tests
3. Interview
4. Reference and background check
5. Medical examination
6. Final selection and job offer
7. Placement and induction

Employment tests

Test	Measures
Aptitude	Potential to learn / ability
Personality	Traits and attitude
Situational	Judgement in job-like situations

Reliability = consistent results; **validity** = the test really predicts job performance.

Interviews

Type	Meaning
Structured	Fixed questions in the same order
Unstructured	Free-flowing conversation
Panel	A group of interviewers
Behavioural	Questions on past behaviour
Stress	Deliberate pressure to test composure
Telephonic / video	Remote interview

Interview error	Meaning	Remedy
Halo effect	One good trait colours all	Rate each trait separately
Horns effect	One bad trait colours all	Structured criteria
Bias / stereotyping	Judging by gender, looks, background	Train interviewers, panel

Quick revision - Unit II

- HRP: demand + supply → gap → action plan; Delphi = demand, Markov = supply
- Job analysis → JD (job) + JS (person); methods: observation, interview, questionnaire, diary
- Recruitment = attract (positive); Selection = choose (negative)
- Selection stages: screening → tests → interview → checks → medical → offer
- Interview errors: halo, horns, bias

Part B - Important questions

1. Define Human Resource Planning and explain its process.
2. Discuss the factors affecting HRP (internal and external). How can an organization respond to each?
3. Explain the techniques of forecasting demand for human resources. Which technique is most suitable for a growing firm?
4. Explain the methods of forecasting supply of human resources.
5. What is Job Analysis? Discuss its process, methods and uses. How does it serve as the foundation for other HR functions?
6. Distinguish between Job Description and Job Specification. Prepare a sample JD and JS for a position of your choice (e.g., Marketing Executive).
7. Define recruitment and discuss the factors affecting it. Explain how internal and external factors shape an organization's recruitment strategy.
8. Compare internal and external sources of recruitment. Discuss the merits and demerits of each with examples.
9. Explain the selection process in detail. Describe each stage, from application screening to the final job offer.
10. Discuss the types of employment tests (aptitude, personality, situational). How do they improve the reliability and validity of selection decisions?
11. Explain the various interviewing techniques. What are the common errors in interviewing and how can they be avoided?
12. What are the barriers to effective HRP, and how can they be overcome?
13. Describe the methods of collecting job analysis data (observation, interview, questionnaire, diary method).
14. "Job analysis is the cornerstone of all HR activities." Do you agree? Justify your answer.
15. "Internal recruitment boosts morale, but external recruitment brings innovation." Critically evaluate this statement.

Part C - Detailed model answers (22 answers)

Q1. [2 marks] Define Human Resource Planning.

Human Resource Planning

Human Resource Planning (HRP) is the process of **forecasting an organisation's future demand for and supply of employees** and planning to meet the gap, so that the right number and type of people are available at the right time.

- It matches the **number and quality** of employees with organisational needs.
- It avoids both shortage (lost work) and surplus (idle cost).

Example: A firm planning to open five new branches estimates the staff needed and starts hiring in advance.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q2. [3 marks] Explain the objectives and importance of Human Resource Planning.

Human Resource Planning

HRP ensures that the organisation always has the right people to carry out its plans.

1. **Right man at the right time:** prevents shortage or surplus of employees.
2. **Control of labour cost:** hiring only as many people as needed saves salary cost.
3. **Basis for other HR activities:** recruitment, training and succession planning all follow the HR plan.

Example: An IT firm plans to recruit 200 trainees before a large project begins.

Marking scheme: Introduction 0.5 · three points 2 · example 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q3. [5 marks] Define Human Resource Planning and explain its process.

Human Resource Planning

Introduction

Human Resource Planning is the process of forecasting the future demand for and supply of employees and planning to fill the gap, so that the right people are available at the right time.

Process of HRP

1. **Analysing organisational objectives and plans** - HR plans flow from business plans (expansion, new products).
2. **Forecasting demand** - estimating the number and skills of employees required.
3. **Forecasting supply** - assessing internal availability (existing staff, promotions, turnover) and the external labour market.
4. **Identifying the gap** - comparing demand and supply to find shortage or surplus.
5. **Preparing action plans** - recruitment, training, redeployment or retrenchment.
6. **Implementation, control and review** - monitoring results and revising the plan.

Conclusion: a systematic HR plan makes the workforce ready for the organisation's growth.

Marking scheme: Definition 1 · six steps 3.5 · conclusion 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q4. [5 marks] Discuss the factors affecting HRP (internal and external). How can an organisation respond to each?

Human Resource Planning

Introduction

HRP does not work in isolation; it is influenced by factors inside and outside the organisation.

Type	Factor	Effect	How to respond
Internal	Organisational strategy and growth plans	Decide number and kind of employees	Align the HR plan with the business plan
Internal	Organisational structure and job design	Change in the number of jobs	Review structure regularly
Internal	Employee turnover, skills inventory	Shortage of skills	Retention plans, training
External	Labour market and unemployment	Availability of talent	Use campus hiring, flexible contracts
External	Economy and technology	Demand for skills changes	Re-skill employees, plan flexibly
External	Government laws and unions	Limits on hiring and firing	Follow laws, build good union relations

Conclusion: the HR plan should be reviewed regularly because these factors keep changing.

Marking scheme: Introduction 0.5 · internal factors 2 · external factors 2 · responses 0.5

Asked in: Important Questions - Unit 2, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q5. [6 marks] Explain the techniques of forecasting demand for human resources. Which technique is most suitable for a growing firm?

Human Resource Planning

Introduction

Demand forecasting estimates the number and type of employees needed in the future. Both quantitative and judgemental techniques are used.

Techniques

Technique	How it works	Suitability
Managerial judgement	Managers estimate needs of their departments	Quick; good for small firms
Delphi technique	Experts give estimates anonymously in rounds until a consensus emerges	Good where history cannot predict the future
Nominal group technique	Structured group discussion and ranking of ideas	Good for new situations
Work-study technique	Workload divided by output per employee	Where work can be measured
Ratio / trend analysis	Past ratios (sales per employee) are projected	Stable conditions

Most suitable for a growing firm

Delphi technique (with managerial judgement) is most suitable because a growing firm's future differs from its past, so trend analysis cannot predict its needs; expert opinion can.

Marking scheme: Introduction 1 · techniques 3 · suitable technique with reason 2

Asked in: Important Questions - Unit 2, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q6. [3 marks] Explain the methods of forecasting supply of human resources.

Human Resource Planning

Supply forecasting estimates how many employees will be available - inside and outside the firm.

1. **Markov analysis:** shows the probability of employees moving between jobs, being promoted or leaving; it predicts internal supply.
2. **Skill inventory and replacement charts:** records of employees' skills and charts showing who can replace whom.
3. **External supply study:** labour market, campuses, competitors and migration give the outside supply.

Example: If 10% of staff leave every year, the supply next year is 90% of present staff plus promotions.

Marking scheme: Introduction 0.5 · three methods 2 · example 0.5

Asked in: Important Questions - Unit 2, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q7. [3 marks] What are the barriers to effective HRP, and how can they be overcome?

Human Resource Planning

Barrier	Why it is a problem	Remedy
Lack of top management support	No resources or priority is given to planning	Show the benefits and involve top management
Inaccurate data and forecasts	Wrong plans are made	Improve the HR information system
Resistance from managers and employees	Plans are not implemented	Communication and participation

Other barriers are uncertainty of the environment and the cost and time of planning.

Marking scheme: Three barriers with remedies 1 each

Asked in: Important Questions - Unit 2, Q12 [answer from standard HRM knowledge - no notes PDF for this unit]

Q8. [2 marks] What is Job Analysis?

Job Analysis

Job analysis is the process of **collecting and analysing information about the tasks, duties, responsibilities and requirements of a job**.

- Its results are written as a **job description** (about the job) and a **job specification** (about the person).
- It is the foundation of recruitment, training, appraisal and pay.

Example: Studying what a bank cashier does each day and the skills needed.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q9. [3 marks] Describe the methods of collecting job analysis data.

Job Analysis

Method	How it works	Advantage	Limitation
Observation	Analyst watches the job being done	First-hand facts	Time consuming
Interview	Job holders and supervisors are questioned	Detailed information	May be biased
Questionnaire	Written form filled by employees	Covers many employees	Poor response
Diary method	Job holder records daily activities in a log	Accurate records of what is done	Employees may exaggerate

Marking scheme: Four methods with explanation, 0.75 each

Asked in: Important Questions - Unit 2, Q13 [answer from standard HRM knowledge - no notes PDF for this unit]

Q10. [5 marks] Distinguish between Job Description and Job Specification. Prepare a sample JD and JS for the position of Marketing Executive.

Job Analysis

Difference

Basis	Job description	Job specification
Meaning	A statement of tasks, duties and responsibilities of the job	A statement of qualifications, skills and traits required from the job holder
Concerned with	The job	The person
Contents	Title, duties, reporting, working conditions	Education, experience, skills, personality
Use	Tells what the job is	Helps in selecting the right person

Sample - Marketing Executive

- **Job description:** title - Marketing Executive; reports to Marketing Manager; duties - promote products, meet customers, conduct market surveys and prepare sales reports; working hours and location.
- **Job specification:** BBA/MBA in marketing; 1-2 years' experience; good communication and persuasion skills; basic computer skills; ability to work under targets.

Marking scheme: Difference 3 · sample JD 1 · sample JS 1

Asked in: Important Questions - Unit 2, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q11. [6 marks] "Job analysis is the cornerstone of all HR activities." Do you agree? Justify your answer.

Job Analysis

Introduction

Job analysis collects information about each job - its duties, responsibilities and requirements. Almost every HR decision is based on this information.

I agree - justification

HR activity	How job analysis is used
HR planning	Shows what jobs and how many people are needed
Recruitment and selection	Job description and specification define who is wanted
Training	Shows skills required and gaps
Performance appraisal	Sets the standards of performance
Job evaluation and pay	The worth of a job is decided on its duties
Safety and health	Identifies hazards of the job

Conclusion: without accurate job analysis the HR activities would be based on guesswork; hence it is the foundation of HRM.

Marking scheme: Introduction 1 · agree with 4 uses 4 · conclusion 1

Asked in: Important Questions - Unit 2, Q14 [answer from standard HRM knowledge - no notes PDF for this unit]

Q12. [10 marks] What is Job Analysis? Discuss its process, methods and uses. How does it serve as the foundation for other HR functions?

Job Analysis

1. Introduction

A job is a group of tasks and duties. **Job analysis** is the process of collecting and analysing information about the tasks, duties, responsibilities and requirements of a job. It answers: what is done, why, how, where and by whom.

2. Process of job analysis

1. Decide the purpose and the jobs to be analysed.
2. Collect background information (organisation chart, existing job records).

3. Collect job data using suitable methods.
4. Verify the data with job holders and supervisors.
5. Prepare the job description and job specification.
6. Review and update regularly.

3. Methods of collecting data

Method	Meaning
Observation	Watching employees at work
Interview	Questioning job holders and supervisors
Questionnaire	Written forms filled in by employees
Diary method	Employees record their daily activities

4. Uses and foundation of other HR functions

Function	Role of job analysis
Planning	Defines jobs needed
Recruitment and selection	Gives job description and specification
Training and development	Shows skills required
Appraisal	Provides performance standards
Job evaluation and compensation	Basis of the pay structure
Safety	Finds risks of jobs

Example: A bank analyses the job of a loan officer; the resulting JD and JS are used to recruit, train, appraise and pay the officer.

5. Conclusion

Job analysis supplies the facts on which nearly every HR activity rests; hence it is the cornerstone of HRM.

Marking scheme: Introduction 1 · process 2 · methods 2 · uses 3 · example 1 · conclusion 1

Asked in: Important Questions - Unit 2, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q13. [2 marks] Define recruitment.

Recruitment

Recruitment is the process of **searching for and attracting potential candidates** and encouraging them to apply for jobs in the organisation.

- It creates a **pool of applicants** from which the best can be selected.
- It is a positive process, whereas selection is negative (rejecting unsuitable candidates).

Example: Advertising a vacancy in a newspaper and on a job portal.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q14. [3 marks] Distinguish between recruitment and selection.

Recruitment

Basis	Recruitment	Selection
Meaning	Searching and attracting candidates	Choosing the best from the applicants
Nature	Positive - encourages applications	Negative - rejects unsuitable persons
Sequence	Comes first	Follows recruitment
Aim	To create a pool of applicants	To select the most suitable candidate

Recruitment generates the pool; selection chooses from it.

Marking scheme: Any three differences 1 each

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q15. [5 marks] Define recruitment and discuss the factors affecting it. Explain how internal and external factors shape an organisation's recruitment strategy.

Recruitment

Introduction

Recruitment is the process of searching for and attracting potential candidates to apply for jobs. How a firm recruits depends on several factors.

Type	Factors	Effect on recruitment strategy
Internal	Recruitment policy (promote from within or not), HR plan, size of the firm, cost, reputation of the firm	Decide the sources and the method of recruiting
External	Labour market and unemployment, competitors' pay, economy, labour laws, unions	Decide how much effort and pay is needed to attract people

Example: If unemployment is high, applicants are plentiful and the firm can recruit cheaply; if skills are scarce, it must offer higher pay and use campus drives.

Marking scheme: Definition 1 · internal factors 2 · external factors 2

Asked in: Important Questions - Unit 2, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q16. [6 marks] Compare internal and external sources of recruitment. Discuss the merits and demerits of each with examples.

Recruitment

Introduction

Sources of recruitment are the places from which candidates are found. They are internal (within the firm) and external (outside the firm).

Basis	Internal sources	External sources
Examples	Promotion, transfer, job posting, employee referrals	Campus placement, advertisements, employment exchanges, agencies, walk-ins
Merits	Cheap and fast; boosts morale and loyalty; employee is already known	Fresh ideas and skills; wide choice; no internal rivalry
Demerits	Limited choice; no new ideas; may cause jealousy	Costly and time-consuming; risk of wrong selection; may demotivate existing staff

Example: Promoting a senior clerk to supervisor (internal); hiring a fresh MBA from a campus (external).

Conclusion: most firms use both: internal for continuity and external for fresh talent.

Marking scheme: Introduction 1 · comparison table 3 · examples 1 · conclusion 1

Asked in: Important Questions - Unit 2, Q8 [answer from standard HRM knowledge - no notes PDF for this unit]

Q17. [6 marks] "Internal recruitment boosts morale, but external recruitment brings innovation." Critically evaluate this statement.

Recruitment

Introduction

The statement compares the main strength of each source.

Internal recruitment

- **Boosts morale:** employees see a promotion path and feel valued.
- **Cheap and quick;** the candidate's performance is already known.
- **Weakness:** limited choice, no new ideas, possible rivalry.

External recruitment

- **Brings innovation:** new people bring new skills, experience and viewpoints.
- **Weakness:** costly, slow, risk of a poor fit and possible demotivation of insiders.

Evaluation

The statement is broadly true, but not always: an insider may also innovate, and an outsider may lower morale. The best method depends on the post - promote for continuity, hire outside for fresh skills.

Marking scheme: Introduction 1 · internal 1.5 · external 1.5 · evaluation 2

Asked in: Important Questions - Unit 2, Q15 [answer from standard HRM knowledge - no notes PDF for this unit]

Q18. [2 marks] What is selection?

Selection

Selection is the process of **choosing the most suitable candidate** from the pool of applicants created by recruitment, through tests, interviews and checks.

- It rejects unsuitable applicants, so it is a **negative** process.
- It aims to match the candidate with the job requirements.

Example: Out of 500 applicants, 5 are finally appointed after tests and interviews.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q19. [10 marks] Explain the selection process in detail. Describe each stage, from application screening to the final job offer.

Selection

1. Introduction

Selection is the process of choosing the most suitable candidate from the applicants. It consists of a series of steps, each of which removes unsuitable candidates, so that cost is spent only on promising ones.

2. Stages of the selection process

1. **Application screening:** applications are checked against the job specification; those not meeting minimum qualifications are rejected.
2. **Employment tests:** aptitude, personality and situational tests measure ability, traits and judgement.
3. **Interview:** face-to-face discussion to judge communication, attitude and suitability.
4. **Reference and background check:** past employers and referees confirm the candidate's record.
5. **Medical examination:** checks physical fitness for the job.
6. **Final selection and job offer:** the best candidate is chosen and given an offer letter stating post, pay and terms.
7. **Placement and induction:** the person joins and is oriented to the organisation.

3. Flow

Stage	Purpose	Candidates remaining
Screening	Remove unqualified	Many
Tests	Measure ability	Fewer
Interview	Judge suitability	Few

Checks and medical	Verify	Very few
Offer	Final choice	One or more

Example: A bank receives 2,000 applications for 20 posts: screening leaves 500, the written test 100, the interview 30 and the final offer goes to 20.

4. Conclusion

A careful multi-stage process gives the organisation the right person, reduces turnover and saves training cost.

Marking scheme: Introduction 1 · six stages 5 · flow/table 1.5 · example 1 · conclusion 1.5

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q20. [6 marks] Discuss the types of employment tests (aptitude, personality, situational). How do they improve the reliability and validity of selection decisions?

Selection

Introduction

Employment tests are standard tools used to measure a candidate's ability and suitability for the job.

Test	What it measures	Example
Aptitude test	Potential to learn and ability (numerical, verbal, mechanical)	Numerical reasoning test for a bank clerk
Personality test	Traits, attitude and temperament	Questionnaire on teamwork and stress handling
Situational test	Judgement in realistic work situations	Handling an angry customer role play

Reliability and validity

- **Reliability** means consistency: the same candidate gets similar scores when tested again.
- **Validity** means the test really predicts job performance.
- Standard tests remove personal bias and let candidates be compared fairly, so decisions become more reliable and valid.

Marking scheme: Introduction 1 · three tests 3 · reliability and validity 2

Asked in: Important Questions - Unit 2, Q10 [answer from standard HRM knowledge - no notes PDF for this unit]

Q21. [6 marks] Explain the various interviewing techniques. What are the common errors in interviewing and how can they be avoided?

Selection

Introduction

An interview is a formal conversation to judge a candidate's suitability. Different techniques are used for different needs.

Technique	Meaning
Structured	Fixed questions asked in the same order to all candidates
Unstructured	Free-flowing conversation with no set questions
Panel	A group of interviewers questions one candidate
Behavioural	Questions about past behaviour in real situations
Stress	Deliberate pressure to test composure
Telephonic / video	Interview conducted remotely

Common errors and remedies

Error	Meaning	Remedy
Halo effect	One good trait influences the whole rating	Rate each trait separately
Horns effect	One bad trait lowers the whole rating	Use structured criteria
Bias and stereotyping	Judging by gender, looks or background	Train interviewers; panel interviews
Poor listening / first impression	Decision made early	Standard questions; evaluate after the interview

Marking scheme: Introduction 0.5 · techniques 3 · errors and remedies 2.5

Asked in: Important Questions - Unit 2, Q11 [answer from standard HRM knowledge - no notes PDF for this unit]

Q22. [3 marks] What are the limitations of interviews as a selection tool? How can they be reduced?

Selection

The interview is the most widely used tool but it has weaknesses.

1. **Subjective judgement:** the interviewer's likes and dislikes affect the result.
2. **Errors like halo effect, bias and first-impression error** reduce fairness.
3. **Inconsistency:** different candidates get different questions.

Remedies: structured questions, trained interviewers, panel interviews and scoring sheets.

Marking scheme: Limitations 2 · remedies 1

Asked in: Important Questions - Unit 2, Q11 [answer from standard HRM knowledge - no notes PDF for this unit]

Part D - MCQs (25) - answers at the end

1. A panel interview is conducted by
- A. an auditor
- B. a single interviewer by phone only
- C. the candidate's friends
- D. a group of interviewers

2. In the diary method of job analysis, the
- A. job holder records daily activities in a log
- B. auditor checks the books
- C. union negotiates wages
- D. supervisor reads the HR policy

3. An interview with predetermined questions asked in the same order is a
- A. stress interview
- B. structured interview
- C. unstructured interview
- D. panel interview

4. Selection is the process of
- A. searching for and attracting a large pool of candidates to apply for vacancies
- B. preparing a list of the tasks and duties attached to a vacant position
- C. training newly appointed employees to perform their duties efficiently
- D. choosing the most suitable candidate from the pool of applicants

5. Which of the following is an employment test?
- A. Aptitude test
- B. Cost sheet
- C. Balance sheet
- D. Trial balance

6. Which is the first step in the HRP process?
- A. Analysing organisational objectives / plans
- B. Conducting exit interviews with employees who have resigned
- C. Estimating the compensation payable to the employees in the next year
- D. Retrenching the surplus employees from various departments

7. Which of the following is NOT a method of forecasting HR supply?
- A. Markov analysis
- B. Delphi technique
- C. Skill inventory
- D. Replacement chart

8. Which of the following is a method of forecasting HR supply?
- A. Work-study technique
- B. Markov analysis
- C. Delphi technique
- D. Nominal group technique

9. Judging a candidate on the basis of one strong trait is the interviewing error called
- A. halo effect
- B. central tendency
- C. leniency
- D. horns effect

10. A test that measures a candidate's potential to learn is an

A. situational test
B. personality test
C. medical test
D. aptitude test

11. Recruitment is best defined as
A. the process of transferring an employee to a higher post in the same firm
B. the process of orienting a new employee to the company's rules and culture
C. the process of choosing the best candidate from the applicants through tests and interviews
D. the process of searching for and attracting potential candidates to apply for jobs

12. Which of the following is generally the first stage in the selection process?
A. Medical examination
B. Application screening
C. Final job offer
D. Induction

13. A situational test asks the candidate to
A. respond to a realistic work scenario
B. fill an application form giving his personal details
C. write an essay on any topic of his choice about his hobbies
D. submit his educational certificates and testimonials to the HR office

14. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?
A. Widens the talent pool
B. Boosts employee morale and motivation
C. Increases recruitment cost
D. Brings completely new ideas

15. Which is a method of collecting job analysis data?
A. Balance sheet
B. Observation
C. Break-even chart
D. Gantt chart

16. Which is an EXTERNAL factor affecting HRP?
A. Organisational structure
B. Labour market conditions
C. Company's strategic plan
D. Employee skills inventory

17. Which of the following is a technique of forecasting demand for human resources?
A. Markov analysis
B. Skill inventory
C. Delphi technique
D. Succession chart

18. An interview in which the interviewer deliberately puts the candidate under pressure is a
A. panel interview
B. stress interview
C. telephonic interview
D. structured interview

19. Which is an INTERNAL source of recruitment?
A. Employment exchange
B. Newspaper advertisement
C. Promotion

D. Campus recruitment

20. A barrier to effective HRP is

A. too many accurate forecasts
B. availability of complete data
C. lack of top management support
D. perfect labour market

21. A statement of the qualifications, skills and traits required of the job holder is called

A. job description
B. job enrichment
C. job specification
D. job enlargement

22. Which is an EXTERNAL source of recruitment?

A. Transfer
B. Job rotation
C. Campus placement
D. Promotion

23. Job analysis is the process of

A. estimating the number of employees required in the coming year
B. collecting and analysing information about the tasks and requirements of a job
C. appraising an employee's performance and potential for promotion
D. fixing the wage rate for a job after comparing it with other jobs

24. Recruitment through employee referral is a source that

A. uses the firm's own employees to recommend candidates
B. private employment agencies that supply candidates to firms
C. campus placement at colleges and universities
D. advertisements published in newspapers and professional magazines

25. Human Resource Planning (HRP) is the process of

A. evaluating the past performance of employees against fixed standards
B. analysing the duties and responsibilities attached to each job in the firm
C. forecasting an organisation's future demand for and supply of employees
D. determining the compensation and fringe benefits to be paid to all employees

MCQ answer key

1. **D**	6. **A**	11. **D**	16. **B**	21. **C**
2. **A**	7. **B**	12. **B**	17. **C**	22. **C**
3. **B**	8. **B**	13. **A**	18. **B**	23. **B**
4. **D**	9. **A**	14. **B**	19. **C**	24. **A**
5. **A**	10. **D**	15. **B**	20. **C**	25. **C**

MCQ answers with explanations

1. A panel interview is conducted by

Answer: D. a group of interviewers

Why correct: A panel interview is done by a group of interviewers together.

A is wrong: An auditor does not interview.

B is wrong: A single interviewer by phone is not a panel.

C is wrong: Friends do not interview.

2. In the diary method of job analysis, the

Answer: A. job holder records daily activities in a log

Why correct: In the diary method the job holder writes down daily activities in a log.

B is wrong: Auditors check books, not jobs.

C is wrong: Unions negotiate wages, not record job data.

D is wrong: Reading HR policy is not job analysis.

3. An interview with predetermined questions asked in the same order is a

Answer: B. structured interview

Why correct: A structured interview asks the same fixed questions in the same order.

A is wrong: Stress interview applies pressure.

C is wrong: Unstructured interview is free-flowing.

D is wrong: Panel interview uses many interviewers.

4. Selection is the process of

Answer: D. choosing the most suitable candidate from the pool of applicants

Why correct: Selection picks the most suitable person from the pool created by recruitment.

A is wrong: Searching and attracting is recruitment.

B is wrong: Listing tasks is job description.

C is wrong: Training new staff is induction/training.

5. Which of the following is an employment test?

Answer: A. Aptitude test

Why correct: An aptitude test measures ability and is an employment test.

B is wrong: A cost sheet is a costing statement.

C is wrong: A balance sheet is a financial statement.

D is wrong: A trial balance is an accounting check.

6. Which is the first step in the HRP process?

Answer: A. Analysing organisational objectives / plans

Why correct: HR plans flow from the organisation's objectives, so the first step is analysing them.

B is wrong: Exit interviews are an after-the-fact tool.

C is wrong: Compensation estimates come after the plan exists.

D is wrong: Retrenchment is a later decision.

7. Which of the following is NOT a method of forecasting HR supply?

Answer: B. Delphi technique

Why correct: Delphi forecasts demand; Markov, skill inventory and replacement chart forecast supply.

A is wrong: Markov analysis is a supply method.

C is wrong: Skill inventory is a supply method.

D is wrong: Replacement chart is a supply method.

8. Which of the following is a method of forecasting HR supply?

Answer: B. Markov analysis

Why correct: Markov analysis shows how employees move between jobs and exit, forecasting internal supply.

A is wrong: Work-study technique estimates workload (demand).

C is wrong: Delphi forecasts demand.

D is wrong: Nominal group technique forecasts demand.

9. Judging a candidate on the basis of one strong trait is the interviewing error called

Answer: A. halo effect

Why correct: Halo effect: one strong trait colours the entire rating.

B is wrong: Central tendency: rating everyone average.

C is wrong: Leniency: rating everyone too high.

D is wrong: Horns effect: one bad trait colours the rating.

10. A test that measures a candidate's potential to learn is an

Answer: D. aptitude test

Why correct: Aptitude tests measure the potential to learn.

A is wrong: Situational tests measure judgement.

B is wrong: Personality tests measure traits.

C is wrong: Medical tests measure health.

11. Recruitment is best defined as

Answer: D. the process of searching for and attracting potential candidates to apply for jobs

Why correct: Recruitment searches for and attracts a pool of potential applicants.

A is wrong: Moving to a higher post is promotion.

B is wrong: Orientation is induction.

C is wrong: Choosing the best from applicants is selection.

12. Which of the following is generally the first stage in the selection process?

Answer: B. Application screening

Why correct: Selection starts by screening applications to remove unsuitable ones.

A is wrong: Medical examination comes after tests and interviews.

C is wrong: Final job offer is the last stage.

D is wrong: Induction comes after selection.

13. A situational test asks the candidate to

Answer: A. respond to a realistic work scenario

Why correct: A situational test puts the candidate in a realistic work scenario.

B is wrong: Filling a form is screening.

C is wrong: Writing an essay is a writing test.

D is wrong: Submitting certificates is documentation.

14. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?

Answer: B. Boosts employee morale and motivation

Why correct: Promoting from within motivates staff and boosts morale.

A is wrong: A wider talent pool comes from external recruitment.

C is wrong: Internal recruitment is cheaper, not costlier.

D is wrong: New ideas come from external recruitment.

15. Which is a method of collecting job analysis data?

Answer: B. Observation

Why correct: Observation, interview, questionnaire and diary are job analysis data methods.

A is wrong: A balance sheet is a financial statement.

C is wrong: A break-even chart is a cost tool.

D is wrong: A Gantt chart is a scheduling chart.

16. Which is an EXTERNAL factor affecting HRP?

Answer: B. Labour market conditions

Why correct: Labour market conditions lie outside the firm, so they are an external factor.

A is wrong: Organisational structure is internal.

C is wrong: Strategic plan is internal.

D is wrong: Skills inventory is internal.

17. Which of the following is a technique of forecasting demand for human resources?

Answer: C. Delphi technique

Why correct: Delphi uses expert opinions to forecast future HR demand.

A is wrong: Markov analysis tracks movement of people (supply).

B is wrong: Skill inventory lists existing skills (supply).

D is wrong: Succession chart plans who replaces whom (supply).

18. An interview in which the interviewer deliberately puts the candidate under pressure is a

Answer: B. stress interview

Why correct: A stress interview deliberately pressures the candidate to test composure.

A is wrong: A panel interview uses many interviewers.

C is wrong: A telephonic interview is done by phone.

D is wrong: A structured interview uses fixed questions.

19. Which is an INTERNAL source of recruitment?

Answer: C. Promotion

Why correct: Promotion fills a vacancy from existing employees, so it is internal.

A is wrong: Employment exchange is external.

B is wrong: Newspaper advertisement is external.

D is wrong: Campus recruitment is external.

20. A barrier to effective HRP is

Answer: C. lack of top management support

Why correct: Without top management support, HRP gets no resources or priority, so it fails.

A is wrong: Accurate forecasts help HRP.

B is wrong: Complete data helps HRP.

D is wrong: A perfect labour market would ease HRP.

21. A statement of the qualifications, skills and traits required of the job holder is called

Answer: C. job specification

Why correct: Job specification lists the qualifications, skills and traits the job holder needs.

A is wrong: Job description lists the job's duties.

B is wrong: Job enrichment adds depth and responsibility.

D is wrong: Job enlargement adds more tasks.

22. Which is an EXTERNAL source of recruitment?

Answer: C. Campus placement

Why correct: Campus placement brings in candidates from outside, so it is external.

A is wrong: Transfer is internal.

B is wrong: Job rotation is internal.

D is wrong: Promotion is internal.

23. Job analysis is the process of

Answer: B. collecting and analysing information about the tasks and requirements of a job

Why correct: Job analysis collects and studies facts about a job's tasks and requirements.

A is wrong: Estimating headcount is manpower planning.

C is wrong: Appraising performance is performance appraisal.

D is wrong: Fixing wage rates is job evaluation.

24. Recruitment through employee referral is a source that

Answer: A. uses the firm's own employees to recommend candidates

Why correct: Employee referral uses current employees to recommend candidates.

B is wrong: Agencies are consultancy sources.

C is wrong: Campus placement is a campus source.

D is wrong: Newspaper ads are advertising.

25. Human Resource Planning (HRP) is the process of

Answer: C. forecasting an organisation's future demand for and supply of employees

Why correct: HRP forecasts future demand for and supply of employees so the right people are available.

A is wrong: Evaluating past performance is performance appraisal.

B is wrong: Analysing job duties is job analysis.

D is wrong: Fixing compensation is a pay function.